

Student: _____
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Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

Assignment: Assignment 5

1. Suppose that you are given the following information:

Total Population	300 million
Adult, noninstitutionalized, nonmilitary population	205 million
Unemployed adults	6 million

a. If the labor force participation rate is 70.0%, calculate the size of the labor force: million. (Enter your response rounded to one decimal place.)

b. Determine the number of Employed adults: million. (Enter your response rounded to one decimal place.)

c. Calculate the Unemployment rate: % (Enter your response as a percentage rounded to two decimal places.)

Answers 143.5

137.5

4.18

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2. Suppose you are given the following information:

Labor force	213.97
Adults in the military	1.98
Nonadult population	58.77
Employed adults	187.35
Institutionalized adults	3.98
Nonmilitary, noninstitutionalized adults not in labor force	32.44

a. What is the total population? million. (Enter your response rounded to one decimal place.)

b. Calculate the total number of unemployed people. million. (Enter your response rounded to one decimal place.)

Calculate the unemployment rate. % (Enter your response as a percentage rounded to two decimal places.)

c. Calculate the labor force participation rate. %. (Enter your response as a percentage rounded to one decimal place.)

Answers 311.1

26.6

12.43

86.8

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3. The following table contains information for the U.S. for 2001.

U.S. Economy: 2001	Thousands of Persons
Civilian labor force	143,772
Civilian employment	136,940
Civilian working-age population	215,227

Compute the unemployment rate and the labor force participation rate.

- ☐ A. Unemployment rate = 4.75 percent; Labor force participation rate = 95.25 percent.
- ☐ B. Unemployment rate = 3.17 percent; Labor force participation rate = 48.8 percent.
- ☐ C. Unemployment rate = 4.75 percent; Labor force participation rate = 66.8 percent.
- ☐ D. Unemployment rate = 9.52 percent; Labor force participation rate = 66.8 percent.

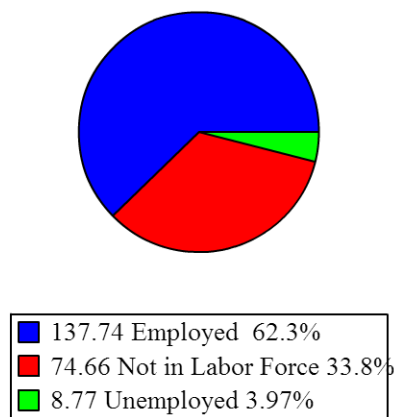
Answer: C

4. The total 2003 US employment status of the non-institutional adult population is depicted in the figure on the right. It is measured in millions of workers and as a percentage.

According to the labor data in the pie chart, the unemployment rate, the labor force, and the labor force participation rate are:

- ☐ A. 5.99%, 146.51, 66.24%.
- ☐ B. 8.77%, 146.51, 66.24%.
- ☐ C. 5.99%, 146.51, 74.66%.
- ☐ D. 5.99%, 221.17, 66.24%.

Employment Status of the Civilian Non-institutional Population (2003)



Data source: Bureau of Labor Statistics, <<ftp://ftp.bls.gov/pub/special.requests/lf/aat1>>

Answer: A

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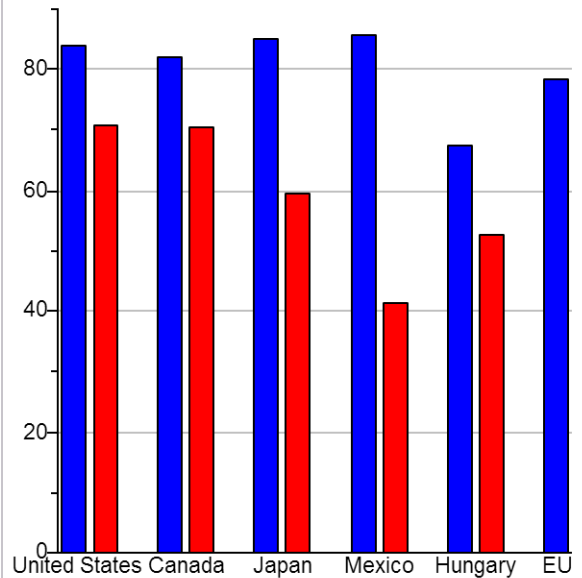
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5. The figure on the right shows labor force participation rates for men and women in 2000 for six different countries. The labor force participation rate of men is shown in blue and of women is shown in red.

Note: The former European Union 15 (EU 15) is, as a matter of convenience here, referred to as one country. The 15 members were: Germany, U.K., France, Italy, Spain, Belgium, the Netherlands, Luxembourg, Denmark, Sweden, Greece, Portugal, Austria, Finland and Ireland.

Based on the data from the figure on the right which country attained *both* the highest labor force participation rate for men *and* the lowest labor force participation rate for women?

- ☐ A. The United States.
☐ B. Japan.
☐ C. Mexico.
☐ D. The EU 15.



Data source: <http://stats.oecd.org/mei/default.asp?>
Organization for Economic Cooperation and Development (OECD) Main Economic Indicators Database

Answer: C

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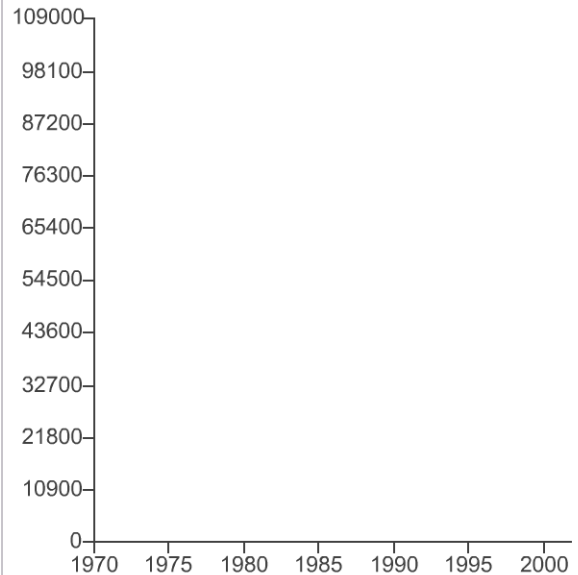
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6. It has been widely reported that an increasing number of US women have joined the labor force during the last few decades.

Directions: Double click on the graph to the right. Select Multiple Time Series Data. For Y Axis1 select the labor force participation rate of men, and for Y Axis2 select the labor force participation rate of women. After selecting these series the data will be plotted in the graph.

According to data shown on the graph on the right, it is clear that the labor force participation rates for men and women in the US

- ☐ A. remained constant during the entire period of 1970-2004.
- ☐ B. tended to converge over almost the entire period.
- ☐ C. neither tended to converge nor tended to diverge during almost all of the period of 1970-2004.
- ☐ D. tended to diverge during the entire period.



Data source: Bureau of Labor Statistics

Answer: B

7. By providing information and reducing the costs of job search, the Internet's impact on the job market is to reduce

- ☐ A. structural unemployment.
- ☐ B. seasonal unemployment.
- ☐ C. frictional unemployment.
- ☐ D. cyclical unemployment.

Answer: C

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8. The economy of Finlandia is at full employment when
- ☐ A. there is some unemployment due to friction in the labor market, but there is no cyclical unemployment.
 - ☐ B. everyone looking who wants a job has one.
 - ☐ C. there is some cyclical unemployment in the economy, but there is no frictional unemployment.
 - ☐ D. there is zero unemployment in the economy.

Answer: A

9. Which of the following measures will lower the natural rate of unemployment?
- ☐ A. Government increases the duration of unemployment compensation benefits.
 - ☐ B. The labor force becomes less educated over time.
 - ☐ C. More high school graduates enter college without looking for employment right away.
 - ☐ D. Government increases spending to reduce the job loss during a recession.

Answer: C

10. Consider an economy where the natural rate of unemployment is equal to 5%. If the actual unemployment rate is equal to 6%, then
- ☐ A. cyclical unemployment rate is 1% .
 - ☐ B. cyclical unemployment rate is 11% .
 - ☐ C. frictional unemployment rate is 1%.
 - ☐ D. structural unemployment rate is 1% .

Answer: A

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11. Marisa has just graduated from college and is seeking a job, but hasn't found one yet.

Which type of unemployment is this?

- ☐ A. seasonal unemployment
☐ B. structural unemployment
☐ C. frictional unemployment
☐ D. cyclical unemployment

Answer: C

12. A nation has a workforce of 500 workers. In every month, 10 workers leave jobs, and 10 different workers find jobs. However, there are also 25 workers who lack the skills to be employed, and thus remain unemployed throughout the year. There is no seasonal unemployment in this economy, and the economy is considered to be at full employment. *(Enter your responses rounded to the nearest percent.)*

In this economy, the rate of frictional unemployment is %.

In this economy, the rate of structural unemployment is %.

In this economy, the rate of cyclical unemployment is %.

Answers 2

5

0

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13. Currently in Economica, the frictional rate of unemployment is 2.0%, the structural rate of unemployment is 2.0%, and the cyclical rate of unemployment is 3.0%. In the winter, there is seasonal unemployment of 1%.

In this country, the seasonally adjusted natural rate of unemployment would be considered to be %. (Round your response to one decimal place.)

Currently, this economy is at full employment.

is not

Answers 4

is not

-
14. Cyclical unemployment results from business recessions.

- ☐ A. False
☐ B. True

Answer: B

-
15. When the economy is at full employment, the unemployment rate is zero.

- ☐ A. False
☐ B. True

The natural rate of unemployment includes

- ☐ A. frictional and cyclical unemployment.
☐ B. structural and cyclical unemployment.
☐ C. frictional and structural unemployment.
☐ D. frictional, structural, and cyclical unemployment.

Answers A

C

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16.

Cyclical
Frictional
Seasonal
Structural

unemployment occurs because of transaction costs in the labor market. For

example, workers do not have full information about vacancies and must search for jobs.

Frictional
Structural
Seasonal
Cyclical

unemployment occurs when there is a poor match of workers' skills and abilities

with available jobs, perhaps because workers lack appropriate training or government labor rules reduce firms' willingness to hire.

The levels of frictional and structural unemployment are used in part to determine our

(somewhat arbitrary) measurement of the

seasonal
natural
cyclical

rate of unemployment.

Answers **Frictional**
 Structural
 natural

17.

Suppose in 2014, the cost of a market basket of goods was \$2,033. In 2016, the cost of the same market basket of goods was \$2,134.

Calculate the price index for 2016, using the price index formula, assume 2014 is the base year. (Enter your response as an index number rounded to one decimal place.)

Answer: 105.0

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18. Suppose that in 2015, a typical U.S. student attending a state-supported college bought 8 textbooks at a price of \$100 per book and enrolled in 30 credit hours of coursework at a price of \$380 per credit hour. In 2016, the typical student continued to purchase 8 textbooks and enroll in 30 credit hours, but the price of a textbook rose to \$110 per book, and the tuition price increased to \$430 per credit hour. The base year for computing a "student price index" using this information is 2015.

The value of the student price index in 2015 is . (Enter your response rounded to two decimal places.)

The value of the student price index in 2016 is . (Enter your response rounded to two decimal places.)

Answers 100

112.95

19. Jim's favorite breakfast is two eggs, 1/5 lb. of bacon, 1/7 lb. of white toast, 1/6 can (16 ounce can) of frozen concentrate orange juice, and 1 lb. of grapefruit. The following table contains 1991 and 2001 prices for these five items. Using 1991 as the base year, compute the price index for Jim's breakfast for 2001.

Item	1991 Price	2001 Price
One dozen eggs	\$1.08	\$1.02
One pound bacon	\$2.15	\$2.75
One pound bread	\$0.63	\$0.98
One can orange juice	\$1.98	\$1.86
One pound grapefruit	\$0.57	\$0.55

- ☐ A. 107.5
☐ B. 89.53
☐ C. 93.02
☐ D. 111.7

Answer: A

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20. The table on the right shows four major price indices of the US economy: the Consumer Price Index (CPI), the Producer Price Index (PPI), the Personal Consumption Expenditure Index (PCE) and the GDP deflator. All four indices are used to measure inflation.

Based on the data from the four indices in the table, which price index suggests the highest rate of inflation between the years 2000 and 2004, and between 1998 and 1999. What were the corresponding rates suggested by these indices?

- ☐ A. The PPI indicates the highest inflation rate at 4.07% for 2000-2004; the CPI indicates the highest inflation rate of 2.19% for 1998-1999.
- ☐ B. The PCE indicating the highest inflation rate of 8.25% for 2000-2004; the GDP deflator indicating the highest inflation rate of 1.45% for 1998-1999.
- ☐ C. The CPI indicating the highest inflation rate at 9.69% for 2000-2004; the GDP deflator indicating the highest inflation rate of 1.45% for 1998-1999.
- ☐ D. The PPI indicating the highest inflation rate of 10.5% for 2000-2004; the CPI indicating the highest inflation rate of 2.19% for 1998-1999.

Selected Price Indices

Year	CPI	PPI	PCE	GDP Deflator
1995	88.49	94	91.58	92.11
1996	91.09	96.2	93.55	93.85
1997	93.22	96.14	95.12	95.41
1998	94.66	93.75	95.98	96.47
1999	96.73	94.54	97.58	97.87
2000	100.0	100.0	100.0	100.0
2001	102.83	101.11	102.09	102.4
2002	104.46	98.79	103.54	104.09
2003	106.83	104.07	105.52	106
2004	109.69	110.5	108.25	108.24

Data source: The source for the PCE is the Bureau of Economic Analysis; all other indices were obtained from the International Financial Statistics (IFS), the CD-ROM Electronic Database of the International Monetary Fund (IMF).

Answer: D

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21.

Commodity	Market Basket Quantity	2001 price	2002 price
Wheat	30 lbs.	\$3.00	\$3.60
Cherries	25 lbs.	\$3.50	\$3.75

Assuming that 2001 is the base year, calculate the price index for 2002.

In 2002, the price index is . (Round your answer to two decimal places.)

The inflation rate between 2001 and 2002 is %. (Round your answer to two decimal places.)

Answers 113.66

13.66

22.

In 2002, the price index was 154.

In 2003, the price index was 161.

The inflation rate between 2002 and 2003 is %. (Round your answer to two decimal places.)

Answer: 4.55

23.

Which of the following is the definition of the GDP Deflator?

☐ A. A weighted average of prices of a market basket of goods and services purchased by typ

☐ B. A statistical measure of average prices using annually updated weights based on surveys

☐ C. A statistical measure of a weighted average of prices of goods and services that firms pro

☐ D. A broad price index measuring the changes in prices of all new goods and services produ

Answer: D

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24. Consider the following:

Price Index in 2015	93
Price Index in 2016	100
Price Index in 2017	112
Price Index in 2018	124
Price Index in 2019	146

a. The base year is

2016
2017
2015

b. Calculate the inflation rate from 2016 to 2017. % (Enter your response as a percentage rounded to two decimal places.)

c. Calculate the inflation rate from 2017 to 2018. % (Enter your response as a percentage rounded to two decimal places.)

d. Assume the cost of a market basket in 2016 is \$1,825.0. (Enter your responses rounded to one decimal place.)

Calculate the cost of the same basket of goods and services in 2015.

Calculate the cost of the same basket of goods and services in 2019.

Answers 2016
 12.00
 10.71
 1,697.3
 2,664.5

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25. Consider an economy where:

The real rate of interest	3.36%
The nominal rate of interest	7.43%

Calculate the anticipated rate of inflation. % (Enter your response as a percentage rounded to two decimal places)

Answer: 4.07

26. Suppose, the current year is the base year for the price index calculation, and

Nominal interest rate	7.91%
Expected inflation rate	5.02%

a. Calculate the expected real interest rate. % (Enter your response as a percentage rounded to two decimal places.)

b. What is the anticipated value of the price index next year? (Enter your response rounded to one decimal place.)

Answers 2.89

105.0

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27. Suppose that in 2019 there is a sudden unanticipated burst of inflation. Consider the situations faced by the following individuals and determine who gains and who loses due to this inflation.

a. A homeowner whose wages keep pace with inflation in 2019 and makes fixed monthly

mortgage payments to a savings bank. As a result of this, the homeowner

gains
loses

savings bank

loses
gains

b. An apartment landlord who has guaranteed to his tenants that their monthly rent payments

during 2019 will be the same as they were during 2018

gains
loses

monthly rent payments

Loses
gains

c. A banker who made a fixed rate auto loan

gains
loses

, but the auto buyer who will repay the

loan at a fixed rate of interest during 2019

loses
gains

d. A retired individual who earns a pension with fixed monthly payments from her past

employer during 2019

loses
gains

, but the employer who pays the fixed monthly payment to her

loses
gains

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27. Answers **gains**
(cont.) **loses**
 loses
 gains
 loses
 gains
 loses
 gains
-

28. Bill lends Joann \$1,000 for a year at a nominal interest rate of 6%. If both Bill and Joann expect the inflation rate to be 4% next year, then the real rate of interest is

- ☐ A. 10%.
☐ B. 24%.
☐ C. 2%.
☐ D. - 2%.

Answer: C

29. People anticipate the inflation rate to be 8%. Banks are making loans at a 12% interest rate. Therefore,

- ☐ A. the real rate of interest is 12% and the nominal rate is 4%.
☐ B. the real rate of interest is 4% and the nominal rate is 12%.
☐ C. the real rate of interest is 8% and the nominal rate is -4%.
☐ D. the real rate of interest is 12% and the nominal rate is 8%.

Answer: B

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30. Which of the following is most likely to gain from unanticipated inflation?

- ☐ A. A consumer with a five year auto loan.
- ☐ B. A restaurant that has printed menus.
- ☐ C. A bank that specializes in mortgage lending.
- ☐ D. A senior citizen who receives Social Security payments.

Answer: A

31. Which of the following is correct?

- ☐ A. $\text{Nominal rate of interest} = (\text{Real rate of interest} - \text{Anticipated rate of inflation})$
- ☐ B. $\text{Real rate of interest} = (\text{Nominal rate of interest} + \text{Anticipated rate of inflation})$
- ☐ C. $(\text{Nominal rate of interest} + \text{Real rate of interest}) = \text{Anticipated rate of inflation}$
- ☐ D. $\text{Real rate of interest} = (\text{Nominal rate of interest} - \text{Anticipated rate of inflation})$

Answer: D

32. Business fluctuations refer to

- ☐ A. the losers and gainers from anticipated and unanticipated inflation.
- ☐ B. the ups and downs in overall business activity measured by changes in national income, employment and the price level.
- ☐ C. the natural rate of unemployment with the emphasis on the level of frictional unemployment.
- ☐ D. the various types of unemployment.

Answer: B

33. Typically during a recession

- ☐ A. incomes rise and unemployment falls.
- ☐ B. incomes and unemployment both rise.
- ☐ C. incomes fall and unemployment rises.
- ☐ D. incomes fall and unemployment falls.

Answer: C

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34.

The ups and downs in economywide business activity are called **business fluctuations**, which consist of **expansions** and **contractions** in overall business activity.

The lowest point of a contraction is called the **trough**. The highest point of an expansion is called the **peak**.

called the **trough**.

An expansion is a downturn in business activity for some length of time.
A recession
A deflation

One possible explanation for business fluctuations relates to **external shocks**, such as wars, dramatic increases in the prices of raw materials, and earthquakes, floods, and droughts.

Answers **business fluctuations**
trough
peak
A recession
external shocks

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35. The flow of gross domestic product during a given interval must always be equivalent to the flow of gross domestic income within that same period because
- ☐ A. profit is defined as what is left over from total business receipts after all other costs—wages, rents, interest—have been paid.
 - ☐ B. spending by one group is income to another.
 - ☐ C. both domestic product and income are measured in terms of market prices.
 - ☐ D. Both (a) and (b) are correct.

Answer: D

36. According to the circular flow of income and output, which of the following is *not* true?
- ☐ A. Goods and services flow in one direction and money payments flow in the other direction.
 - ☐ B. In every economic transaction, the seller receives exactly the same amount that the buyer spends.
 - ☐ C. Goods, services and money all flow in one direction since money pays for the goods and services.
 - ☐ D. Total income and total output must be equal.

Answer: C

37. Total income can be viewed as the sum of
- ☐ A. payments to factor services such as land, labor, capital, and entrepreneurial activity.
 - ☐ B. the dollar value of output produced since total income and total production are equal.
 - ☐ C. wages, rents, interest, and profits.
 - ☐ D. All of the above.

Answer: D

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38. In the circular flow of income

- ☐ A. households buy goods and services and firms supply goods. Resources are supplied by other firms.
- ☐ B. households demand goods and services that are supplied by firms, while supplying resources that are demanded by firms.
- ☐ C. households demand goods and services which are supplied by firms, and the firms demand resources that are supplied by intermediate firms.
- ☐ D. households buy goods and services while firms sell goods and services. Firms obtain labor from households, capital from government, and raw materials from firms.

Answer: B

39. In the first stage of manufacturing each final unit of a product, a firm purchases a key input at a price of \$7 per unit. The firm then pays a wage rate of \$3 for the time that labor is exerted, combining an additional \$1 of inputs for each final unit of output produced. The firm sells every unit of the product for \$14.

What is the contribution of each unit of output to GDP in the current year?

The contribution of each unit of output to GDP in the current year is \$.

Answer: 14

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40. Each year after a regular spring cleaning, Maria spruces up her home a little by retexturing and repainting the walls of one room in her house. In a given year, she spends \$24 on magazines to get ideas about wall textures and paint shades, \$43 on newly produced texturing materials and tools, \$36 on new paintbrushes and other painting equipment, and \$174 on newly produced paint. Normally, she preps the walls, a service that a professional wall-texturing specialist would charge \$204 to do, and applies two coats of paint, a service that a painter would charge \$359 to do, on her own.

a. When she purchases her usual set of materials and does all the work on her home by herself in a given spring, how much does Maria's annual spring texturing and painting activity contribute to GDP? \$.

b. Suppose that Maria hurt her back this year and is recovering from surgery. Her surgeon has instructed her not to do any texturing work, but he has given her the go-ahead to paint a room as long as she is cautious. Thus, she buys all the equipment required to both texture and paint a room. She hires someone else to do the texturing work but does the painting herself. How much would her spring painting activity add to GDP? \$.

c. Suppose that Maria hurt her back this year and is recovering from surgery. Her surgeon has instructed her not to do any texturing work, but he has given her the go-ahead to paint a room as long as she is cautious. Thus, she buys all the equipment required to both texture and paint a room. She hires someone else to do the texturing work but does the painting herself. Suppose that as soon as Maria bends down to dip her brush into the paint, she realizes that painting will be too hard on her back after all. She decides to hire someone else to do all the work using the materials she has already purchased. In this case, how much will her spring painting activity contribute to GDP? \$.

Answers 277

481

840

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41. Which of the following are production activities that are included in GDP? Which are not?

a. Mr. King performs the service of painting his own house instead of paying someone else to do it.

This activity is

excluded
included

in GDP.

b. Mr. King paints houses for a living.

This activity is

excluded
included

in GDP.

c. Mrs. King earns income from parents by taking baby photos in her home photography studio.

This activity is

included
excluded

in GDP.

d. Mrs. King takes photos of planets and stars as part of her astronomy hobby.

This activity is

included
excluded

in GDP.

e. E*Trade charges fees to process Internet orders for stock trades.

This activity is

excluded
included

in GDP.

f. Mr. Ho spends \$10,000 on shares of stock via an Internet trade order. This activity is

excluded
included

in GDP.

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41.

(cont.)

Mr. Ho pays a \$10 brokerage fee. This activity is

included
excluded

in GDP.

g. Mrs. Ho receives a Social Security payment.

This activity is

excluded
included

in GDP.

h. Ms. Chavez makes a \$300 payment for an Internet-based course on stock trading.

This activity is

included
excluded

in GDP.

i. Mr. Langham sells a used laptop computer to his neighbor.

This activity is

excluded
included

in GDP.

Answers

excluded

included

included

excluded

included

excluded

included

excluded

included

excluded

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42. Consider the following hypothetical data for the U.S. economy in 2018 (all amounts are in trillions of dollars):

Category	Value
Consumption	\$10.5
Indirect business taxes	0.7
Depreciation	1.3
Government spending	2.8
Imports	2.8
Gross private domestic investment	2.8
Exports	2.3

- a. Based on the data above: *(Enter your responses rounded to one decimal place.)*

Calculate GDP. \$ trillion.

Calculate NDP. \$ trillion.

Calculate NI. \$ trillion.

- b. Suppose that in 2019, exports fall to \$2.1 trillion, imports rise to \$3.0 trillion, and gross private domestic investment falls to \$2.1 trillion. Calculate GDP in 2019, assuming that other values do not change between 2018 and 2019. \$ trillion.

(Enter your response rounded to one decimal place.)

Answers 15.6

14.3

13.6

14.5

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43. Consider the following hypothetical data for the U.S. economy in 2018 (in trillions of dollars), assume that there are no statistical discrepancies or other adjustments.

Category	Value	Category
Profits	\$2.9	Exports
Indirect business taxes and transfers	0.7	Government transfer payments
Rent	0.5	Personal income taxes and nontax payments
Interest	0.8	Imports
Wages	8.2	Corporate taxes and retained earnings
Depreciation	1.5	Social security contributions
Consumption	13.4	Government spending

- a. Calculate the gross domestic income . \$ trillion. (Enter your response rounded to one place.)

Calculate GDP. \$ trillion. (Enter your response rounded to one decimal place.)

- b. Calculate gross private domestic investment. \$ trillion. (Enter your response rounded to one decimal place.)

- c. Based on the above information, calculate personal income. \$ trillion.
(Enter your response rounded to one decimal place.)

Calculate personal disposable income. \$ trillion. (Enter your response rounded to one decimal place.)

Answers 14.6
 14.6
 – 0.3
 11.4
 9.7

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44. The income households actually *receive* before they pay personal income taxes is:

- ☐ A. national income.
- ☐ B. personal income.
- ☐ C. disposable personal income.
- ☐ D. gross domestic income.

Answer: B

45. Suppose social security contributions rise by \$1 billion while social security benefits also rise by \$1 billion. Further, personal income taxes fall by \$500 million. As a result,

- ☐ A. both personal and disposable personal income should increase.
- ☐ B. disposable income should increase while personal income and national income are unchanged.
- ☐ C. personal income, disposable personal income, and national income remain unchanged.
- ☐ D. national income, personal income, and disposable income should increase.

Answer: B

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46. An increase in corporate income taxes would reduce

- ☐ A. gross domestic product.
- ☐ B. net domestic product.
- ☐ C. national income.
- ☐ D. personal income.

An increase in social security benefits will make

- ☐ A. national income larger.
- ☐ B. personal income larger.
- ☐ C. net domestic product smaller.
- ☐ D. national income smaller.

Answers D

B

47. The following table contains national income accounting data for a hypothetical economy:

Disposable personal income	\$6,000 million
Personal income tax and nontax payments	\$ 800 million
Government and business transfer payments	\$1,400 million
Corporate taxes, Social Security contributions, and corporate retained earnings	\$1,000 million
Indirect business taxes	\$ 750 million
Depreciation	\$ 900 million

Starting from the value for disposable personal income (DPI), gross domestic product is calculated to be \$ (enter your response as an integer).

Answer: 8,050

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48. Real GDP is computed by adjusting nominal GDP for

- ☐ A. capital consumption allowances.
- ☐ B. changes in the price level.
- ☐ C. exchange rate changes.
- ☐ D. depreciation.

Answer: B

49. If nominal GDP increases, it is possible that

- ☐ A. output has increased.
- ☐ B. both prices and output have increased.
- ☐ C. prices have increased.
- ☐ D. any of the above might have happened.

Answer: D

50. When comparing per capita GDP across countries, GDP should be adjusted for

- ☐ A. population.
- ☐ B. purchasing power parity.
- ☐ C. foreign exchange rates.
- ☐ D. the unemployment rate.

Answer: B
